Through Video conferencing

CS (COMM.)356/20

SUPRO SECURITY SERVICE PVT LTD Vs. EXOTIC INNOVATIONS PVT LTD

05.10.2020

Present: Sh. Anuj Kumar Garg, ld. Counsel for the plaintiff.

Non starter report received.

Perused and heard Ld. Counsel for the plaintiff.

This suit is for recovery of a sum of Rs. 25,78,602/- along with interest and for permanent injunction.

Briefly, the facts as alleged in the plaint are that the plaintiff, M/s Subros Security Services Pvt ltd provided the manpower to the defendant M/s Exotic Innovations Pvt ltd at its work places at Bangalore and Hyderabad. Both plaintiff and the defendant are registered with MSME. The plaintiff raised invoices from time to time. It was agreed upon that all the payments shall be made at Delhi or in the accounts of the plaintiff at Delhi. It was alleged that after adjusting the amount with the total billing amount, a sum of Rs. 23,70,680/- became outstanding against the defendants and it failed and neglected to pay the said amount or any part thereof despite repeated demands. The plaintiff got sent a legal notice vide dated 30.05.2020 but despite that, defendant did not make the payment.

Alongwith the suit, an application under Order 38 Rule 5 read with Section 151 CPC has been moved for ex-parte adinterim injunction restraining the defendants from forcibly, illegally disposing of their properties/attaching of their properties till the amount as due be recovered from the defendant.

Ld. Counsel submits that Section 6 of the Commercial Courts Act, 2015, (Explanation) provides that a commercial dispute shall be considered to arise out of the entire territory of the State over which a commercial court has been vested jurisdiction, if the suit or application relating to such commercial dispute has been instituted as per the provisions of Sections 16 to 20 of the Code of Civil Procedure. Ld. Counsel stated that the office of the plaintiff is at Delhi, the defendant had approached the plaintiff for providing the manpower in the office at Delhi, the payment was also to be made at Delhi and therefore, this court has the territorial jurisdiction. Ld. Counsel referred the case of *Satyapal v/s Slick Auto Accessories Pvt ltd, RSA No. 40/2013, decided on 05.03.2014* to contend that the contract was entered at Delhi since the order was placed on the plaintiff at Delhi. Further, once no place of payment is specified, the debtor has to seek the creditor and since the creditor/plaintiff office is at Delhi, therefore, the payment has to be made at Delhi and thus, part of cause of action arose at Delhi. Ld. Counsel submits that suit for recovery is maintainable at the place where the creditor resides or works of gain because a part of cause of action arises at that place also with the contemplation of Section 20 (C) of the Code of Civil Procedure. Ld. Counsel also referred the case of *Maya Jain v/s Yash Chhabra, CS (OS)No.2254/2013,decided on 27.04.2015.* Ld. Counsel stated that defendant is a debtor and it is bound to pay the money at the place of the plaintiff i.e. the creditor.

I have perused the plaint and documents and considered the submissions.

Issue summons of the suit and notice of the application for service upon the defendants on filing of PF/RC/Courier/speed post/e-mail and all other modes as per the High Court Rules for 09.11.2020 .

(Sanjiv Jain)
District Judge/Commercial
Court-03/ New Delhi

Certified that the hearing through video conferencing was smooth and audible to the counsel for the plaintiff as well as the court.

(Sanjiv Jain)
District Judge/Commercial
Court-03/ New Delhi

Note: In case any document or any judgment is to be sent, the same may be sent on the e-mail id: readerdjcc03phc@gmail.com